

tax impact and maximize your equity to keep that karma in the black and not the red.

And if you're all for C, tread the next few years carefully. I can't tell you how many times I've heard the stories of midlife spending sprees that tap out a family's savings. Now's not the time to rip through a \$25,000 dream vacation. Illness, accidents, and any number of emergencies can befall us in middle age. So maintain that good Money Karma and keep a lid on big purchases, at least until you get your full financial picture.

2. Your parents are in financial trouble. Your dad made a late-in-life investment in an orchard that had a few bad seasons, and your mom is sick and needs expensive treatment. They've come to you for help. You have the money, but it would jeopardize your own retirement plans. You offer to:

- a) help comb through their finances to unearth money they probably didn't know they had, and find treatment alternatives that your parents might better afford. In other words, you don't panic. You help them help themselves, but you don't give them money you can't afford to give.
- b) rally the whole family behind them, including siblings and cousins, so you're not the only one carrying the financial burden. And you make it a loan.
- c) write them a check. They're your parents, after all, and they did everything for you when you were growing up.

This is one of the toughest financial conundrums there is, which is why I bring it up a lot in this book. I am trying to hammer home the idea that your money is there to save your life, not other people's lives. So answering A is a way to keep Money Karma moving in the right direction, while still being of some help to your parents. Sometimes, bad financial situations are really just a lack of clarity and a misunderstanding of options. Offering to be the clear set of eyes is a great way to be of service without getting mired in their problems. Maybe they can sell off some assets? Maybe they qualify for tax